

Meridian Components Ltd.

Pre-approval credit and operating-risk review

Fictional Demonstration Data

All names, figures, exposures, and risk statements in this pack are invented for a product demonstration. They do not describe a real client, financial institution, or transaction.

Executive decision

Recommend **conditional approval subject to committee review**. The underlying fictional client has an adequate facility structure, but approval should be conditioned on updated financial information, customer concentration mitigants, and evidence of supply-chain contingency planning.

\$32.3M	2	8	38.3%
Portfolio exposure	Open high-severity risks	Open actions	Projected covenant headroom

Client and facility overview

Meridian Components Ltd. is a fictional manufacturer of precision assemblies serving transport, energy, and industrial customers. The proposed financing package combines a working-capital revolver, term facilities, trade finance, an equipment lease, and performance guarantees. The review focus is the resilience of cash flow during the Q4 inventory build and the quality of ongoing financial reporting.

Review area	Current assessment
Revenue concentration	Top three customer groups account for 58% of annual revenue. A mitigation plan and evidence of contract renewal are required.
Financial reporting	The August management pack was delivered nine business days late. Updated accounts and a covenant certificate are conditions before approval.
Supply chain	Two critical suppliers are located in one region. Dual-source contingency evidence is required before first drawdown.
Covenant resilience	Projected headroom is 38.3%, above the 15% escalation threshold, but sensitivity should be monitored quarterly.

Risk review and approval conditions

The following items should be highlighted in the committee discussion and tracked to closure after approval.

ID	Risk	Severity	Recommended action
R-101	Top three customers represent 58% of annual revenue.	High	Obtain concentration mitigation plan and contract renewal evidence.
R-102	August management accounts were submitted nine business days late.	High	Require updated accounts and covenant certificate before approval.
R-103	Two critical suppliers are located in the same region.	Medium	Confirm dual-source contingency and safety-stock plan.
R-106	Covenant headroom narrows under a 10% revenue stress.	Medium	Set quarterly monitoring and a cash-conversion trigger.
R-108	Management reporting does not include segmented receivables ageing.	Medium	Request customer-level ageing and dispute analysis.

Recommended committee conditions

1	Receive current management accounts and covenant certificate before final credit sign-off.
2	Document a concentration mitigation plan for the three largest customer groups.
3	Confirm dual-source supplier resilience and inventory contingency arrangements.
4	Assign named owners and target dates for every open risk-register action.
5	Implement quarterly monitoring of covenant headroom, receivables ageing, and working-capital utilisation.

Demo prompt suggestion

"Summarize the committee pack, onboarding brief, and risk register. Identify the three most important risks, the approval conditions, and the owners who should take the next actions."